



ADVANCED ACCOUNTING (110)

STATE 2023

CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Account Identification (10 @ 3 points each) _____ (30 points)

Short Answer (13 @ 3 points each) _____ (39 points)

Job 1 – FIFO/LIFO/Weighted Average _____ (30 points)

Job 2 – Financial Statement Analysis _____ (32 points)

Job 3 – Adjusting Entries _____ (28 points)

TOTAL POINTS _____ **(209 points)**

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice – 50 points total – 2 points each

1.	B	16.	A
2.	D	17.	A
3.	C	18.	D
4.	B	19.	D
5.	C	20.	B
6.	B	21.	D
7.	D	22.	A
8.	A	23.	A
9.	A	24.	D
10.	B	25.	B
11.	C		
12.	B		
13.	D		
14.	D		
15.	C		

Account Identification – 30 points total – 1 point each

Account Name	Classification (A, L, SE, R, CM, E)	Financial Statement (IS, SOSE, BS, None)	Normal Balance (Dr, Cr, None)
Unearned Rental Income	L	BS	Cr
Land	A	BS	Dr
Fees Revenue	R	IS	Cr
Purchases Discount	CM	IS	Cr
Income Summary	SE	N	N
Paid-in Capital in Excess of Par-Preferred	SE	SOSE & BS	Cr
Wages Payable	L	BS	Cr
Goodwill	A	BS	Dr
Capital Stock – Preferred	SE	SOSE & BS	Cr
Dividends Payable – Preferred	L	BS	Cr

Short Answer Problems – 39 Total points – 3 points each

1.
 - a. 24,000
 - b. 36,000
 - c. 0.20
 - d. Dividends – Preferred & Dividends – Common (Note – Both answers required to be counted as correct)
2.
 - a. 4.75
 - b. 3,253,750
 - c. 93,746,250
 - d. Loss
 - e. 13,850,000
3.
 - a. 55%
 - b. 45%
 - c. 52,545
 - d. 43,555

Job 1 – FIFO/LIFO/Weighted Average – 30 Total Points – 2 points each – Note to Graders, please count either answer as correct on Weighted Average. Depending on when students clear their calculator, they may legitimately get either answer.

Inventory Costing Method	FIFO	LIFO	Weighted Average
Cost of Merchandise Available For Sale	3,931.20	3,931.20	3,931.20
Ending Inventory	1,117.47	1,337.55	1,179.42 or 1,179.36
Cost of Merchandise Sold	2,813.73	2,593.65	2,751.78 or 2,751.84
Gross Profit	7,836.27	8,056.35	7,898.22 or 7,898.16
Gross Profit Percentage	73.6%	75.6%	74.2% or 74.2%

Job 2 – Financial Statement Analysis – 32 Total Points – 4 points each

- a. 278,745
- b. 174,875
- c. 62.7%
- d. 54,855
- e. 19.7%
- f. 211,550
- g. 127,960
- h. 9.6%

Job 3 – Adjusting Entries – 28 Total Points – 4 points per transaction; 1 for each account name and 1 for each correct amount.

Transaction Letter	Description	Debit	Credit
Dec 31	Adjusting Entries		
a.	Supplies Expense	8,310	
	Supplies		8,310
b.	Depreciation Expense - Equipment	960	
	Accumulated Depreciation - Equipment		960
c.	Advertising Expense	2,000	
	Prepaid Advertising		2,000
d.	Interest Receivable	69.51	
	Interest Income		69.51
e.	Utilities Expense	2,875	
	Utilities Payable		2,875
f.	Unearned Rent	1,800	
	Rental Revenue (Or Rent Revenue or Rent Income)		1,800
g.	Insurance Expense	2,000	
	Prepaid Insurance		2,000